

E_Lecture2-1_W1

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Q1	[40 pts, 20 pts for each] You are selling your car. At the last minute, the transmission dies. You can pay \$900 to have it repaired, or sell the car “as is”. In each of the following scenarios, should you have the transmission repaired? Explain. (A) The car value is \$7,500 if the transmission works, \$6,200 if it doesn’t. Net Gain = $7,500 - (6,200 + 900) = 400$ We should repair the car. It will gain \$400, positive marginal benefit after repaired and ignore other opportunity cost(implicit cost), which have enough incentives to take the respond (B) The car value is \$6,300 if the transmission works, \$5,500 if it doesn’t. Net Lost=$6,300-(5,500 +900) =-100$ We shouldn’t repair the car. The value of car after repairing is lower than the summation of repairing cost and the value without repairment, and also a negative marginal benefit.
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Q2	[30 pts, 10 pts for each] (1) Economic is best defined as the study of a) how society manages its scarce resources. b) how to run a business most profitably c) how to predict inflation, employment, and stock prices d) how the government can stop the harm from unchecked self-interest Answer:_____a_____ (2) Adam Smith’s “invisible hand” refers to a) the subtle and often hidden methods that businesses use to profit at
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